

1.

CASE #	CASE NAME	HEARING NAME
CVPS2304017	MIRAMORE, LLC VS TYLER	MOTION FOR JUDGMENT ON THE PLEADINGS ON COMPLAINT OF MIRAMORE, LLC

Tentative Ruling: Granted in part, denied in part.

Granted as to the 4TH, 5TH, and 6th causes of action as to Defendants White and Berkshire Hathaway without leave to amend. Denied as to 3rd cause of action.

Moving Defendants to provide notice pursuant to CCP 1019.5.

Steven Traxler ("Traxler") purchased property in Palm Springs on August 6, 2020 (the "Property"). Traxler's interest in the property has been assigned to Plaintiff Miramore, LLC. Traxler did not visit the Property prior to purchasing and relied on his real estate agents Brian Sullivan, Keller Williams Luxury Homes ("Keller Williams") and Michael Hilgenberg ("Hilgenberg") and the sellers Richard John Tyler ("Tyler") and Lisa Trafficante's ("Trafficante") disclosure statements regarding the Property. It is alleged that Tyler and Trafficante stated in the Property's listing that it had new plumbing, which was false. Plaintiff alleges that the seller's real estate agent and broker of record – John White ("White"), Berkshire Hathaway Homeservices California Properties ("Berkshire"), and AC Palm Desert Corporation ("AC Palm"), should have been aware that this assertion was false. Plaintiff contends that Traxler hired Advantage Inspection Professionals, LLC ("Advantage") to inspect the Property, which found no issues with the Property. After Traxler moved into the Property, he discovered that the plumbing did not work properly. The toilets did not flush all the way or properly fill. After retaining a plumber, it was discovered that the pipes were not new and had been destroyed by a nearby Ficus's root structure. Plaintiff had to remove massive amounts of mature landscaping and destroy the manicured grounds to fix the issue. This cost Plaintiff in excess of \$200,000. Traxler also became aware of frequent helicopter activity overhead because the Property is located in the helicopter flight path of the nearby hospital's emergency helipad. This, too, was not disclosed.

The operative Complaint, filed August 8, 2023, asserts causes of action for: (1) Violation of Civil Code § 1102; (2) Failure to Disclose Material Facts; (3) Fraud; (4) Breach of Duty to Disclose; (5) Breach of Duty to be Honest and Truthful; (6) Negligence; (7) Negligence; and (8) Negligence.

In the instant motion, White and Berkshire Hathaway (collectively, "Defendants") move for judgment on the pleadings on the third through sixth causes of action, arguing each is time-barred or insufficiently pled. They argue Civ. Code § 2079.4 imposes a two-year limitations period running from the earliest of recordation, close of escrow, or occupancy, and assert that escrow closed August 20, 2020, but the suit was not filed until August 18, 2023, well past the deadline. Defendants contend the fraud count is pled only in "knew or should have known" terms and therefore remains derivative of the section 2079 inspection and disclosure duty. They further argue the fourth and sixth causes of action restate the same duty under different labels, the fifth adds no separate facts, any residual honest

dealing duty is codified within the same article and same two-year bar, and section 438(e) commits any late filing to the Court's discretion.

In opposition, Plaintiff contends a limitations defense may be resolved at the pleading stage only if the bar appears clearly on the face of the complaint, which it does not here. Plaintiff argues section 2079.4 reaches only breaches of the article's inspection and disclosure duty, and asserts the third cause of action pleads intentional fraud (knowing falsity of the "New Plumbing" representation, intent to induce, and affirmative concealment), governed instead by the three-year discovery based period of CCP § 338(d). Plaintiff contends fraud claims against a seller's agent are not constrained by section 2079.4, and distinguishes contrary authority on the ground that no intentional broker conduct was alleged there. Plaintiff further argues the fourth, fifth, and sixth causes of action incorporate the intentional misconduct allegations and escape the two-year bar for the same reason. Procedurally, Plaintiff contends the motion is untimely under section 438(e) because it was filed nearly eight months after the 30-day cutoff measured from the January 30, 2026 initial trial date, which later continuances do not reset. Plaintiff argues that if any defect is found, leave to amend must be granted.

In reply, Defendants reiterate that whether intentional fraud is alleged turns on the facts pled, and contend every state of mind allegation uses the constructive knowledge "knew or should have known" formulation, which sounds in negligence rather than knowing falsity. They argue paragraph 46's "affirmative steps" allegation is a conclusion with no identified act, statement, date, or actor, and cannot satisfy the particularity fraud requires. Defendants further contend the exhibits attached to the Complaint disclose the very plumbing, sewer, and neighborhood noise subjects said to have been concealed, refuting deliberate concealment. They argue incorporation by reference does not change the applicable limitations period, which turns on the nature of the right sued upon. On timeliness, Defendants assert section 438(e) imposes no good cause or leave requirement and commits the question to the Court's discretion, and that the Court may alternatively treat the motion as a common law motion for judgment on the pleadings. Defendants argue leave to amend should be denied because discovery has closed and Plaintiff has not shown how any defect could be cured.

Judgment on Pleadings

A motion for judgment on the pleadings has the same function as a general demurrer, and is used to challenge defects that appear on the face of the challenged pleading or from matters that are judicially noticeable. (CCP § 438(d); *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999.) A defendant may move for judgment on the pleadings on the grounds that the court lacks subject matter jurisdiction over the cause of action or that the complaint does not state facts sufficient to constitute a cause of action against the defendant. (CCP § 438(c)(1)(B)(i)–(ii).) The motion may be directed at the entire complaint or at any of the causes of action stated therein. (CCP § 438(c)(2)(A).)

The standard for granting a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer: under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (*Bezirdjian v. O'Reilly* (2010) 183 Cal.App.4th 316, 321.) The court assumes the truth of, and liberally construes, all properly pleaded factual allegations in

the complaint, and may also consider matters subject to judicial notice. (*Id.* at 321.) Presentation of extrinsic evidence is not proper on a motion for judgment on the pleadings. (*Cloud, supra*, 67 Cal.App.4th at 999.)

No motion for judgment on the pleadings may be made after a pretrial conference order has been entered pursuant to CCP § 575, or within 30 days of the date the action is initially set for trial, whichever is later, unless the court otherwise permits. (CCP § 438(e).) The motion may be granted with or without leave to amend, and when granted with leave to amend, the court shall grant 30 days to file an amended complaint. (CCP § 438(h)(1)-(2).)

As a threshold matter, Plaintiff argues the motion is untimely under CCP § 438(e) because it was filed nearly eight months after the 30-day cutoff measured from the January 30, 2026 date on which the action was initially set for trial.

Section 438(e) provides that no motion for judgment on the pleadings may be made “within 30 days of the date the action is initially set for trial, whichever is later, unless the court otherwise permits.” (CCP § 438(e) [emphasis added].) By its plain terms, section 438(e) commits any late filing to the Court’s discretion. (*Id.*)

Given the current trial date of September 11, 2026, and the fact that the pleading-based issues raised in the motion may narrow the case for trial, the Court will exercise its discretion under section 438(e) to entertain the motion on the merits.

3rd Cause of Action - Fraud

The dispositive question on the third cause of action for fraud is whether it sounds in intentional fraud, governed by the three-year discovery based period of CCP § 338(d), or in breach of the statutory duty of inspection and disclosure imposed on a seller’s broker under Civ. Code § 2079, which is governed by the two-year limitations period of section 2079.4. The California cases the parties invoke draw the line as follows.

In *Loken v. Century 21-Award Properties*, the Court of Appeal held that where a “negligent misrepresentation” cause of action is “derived from the duty to inspect and disclose under section 2079,” it falls within the two-year limitations period of section 2079.4 rather than the three-year fraud period of section 338(d). (*Loken v. Century 21-Award Properties* (1995) 36 Cal.App.4th 263, 273.) The court explained that section 2079 imposes a two-pronged duty on the seller’s broker—(1) “to conduct a reasonably competent and diligent visual inspection” and (2) “to disclose all material facts such an inspection would reveal”—and that both negligence and negligent misrepresentation claims premised on breach of that duty are governed by section 2079.4. (*Id.* at 271.) The label used in the pleading is “not crucial” where “the wrongful conduct . . . alleged against [Defendants] stemmed from statutory duties imposed upon real estate brokers and salespersons by section 2079.” (*Id.* at 272.)

By contrast, in *William L. Lyon & Associates, Inc. v. Superior Court*, the Court of Appeal held that where the plaintiff’s claims “did not arise under section 2079 and are therefore not constrained by the two-year statute of limitations imposed by section 2079.4,” the ordinary limitations periods apply, including the three-year period of CCP § 338(d) for

“[f]raud . . . subject to the three-year statute of limitations.” (*William L. Lyon & Assocs., Inc. v. Sup. Ct.* (2012) 204 Cal.App.4th 1294, 1306, 1312.) The court emphasized that section 2079.24 expressly provides that the article containing sections 2079 and 2079.4 shall not be “construed to either diminish the duty of disclosure owed buyers and sellers by agents . . . or to relieve agents . . . from liability for their conduct in connection with acts governed by this article or for any breach of a fiduciary duty or a duty of disclosure.” (*Id.* at 1305–06 [internal quotation omitted].)

The California Supreme Court’s decision in *Lazar v. Superior Court* supplies the pleading standard against which Plaintiff’s fraud allegations must be measured. Fraud must be pled specifically; “general and conclusory allegations do not suffice.” (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 644.) The particularity requirement “necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’” (*Id.* at 645.) Where the defendant is a corporate entity, the plaintiff “must ‘allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.’” (*Id.*)

The elements of fraud are (a) misrepresentation, (b) knowledge of falsity (scienter), (c) intent to induce reliance, (d) justifiable reliance, and (e) resulting damage. (*Id.* at 638.)

Here, Fraud does not fall within the section 2079.4 bar and is adequately pled under *Lazar* to survive judgment on the pleadings. The third cause of action alleges that White, as agent for the Sellers, marketed the Property on the MLS with the affirmative statement that it had “New Plumbing,” when in fact the underground plumbing was original clay pipe that had been destroyed by a Ficus root system. (Compl. ¶¶ 17, 21.) Plaintiff alleges that Defendants made this representation with the intent to induce Plaintiff to complete the purchase and that Defendants “took certain affirmative steps to ensure that Plaintiff would not discover the defects.” (*Id.* at ¶¶ 45–46.)

On its face, the pleading identifies a specific representation (the “New Plumbing” statement in the MLS), the speaker (White), the medium (the MLS listing dated on or about July 24, 2020), and an audience (prospective buyers, including Traxler). (*Id.* at ¶ 17.) Plaintiff has thus pled a discrete affirmative misrepresentation, not a mere failure to inspect and disclose, that falls on the *William L. Lyon* side of the line and is governed by the three-year period of section 338(d). (*William L. Lyon, supra*, 204 Cal.App.4th at 1306; CCP § 338(d).)

On a motion for judgment on the pleadings, the Court must accept those factual allegations as true and liberally construe them in favor of the pleader. (*Bezirdjian v. O’Reilly* (2010) 183 Cal.App.4th 316, 321.) That the pleading elsewhere uses the “knew or should have known” formulation (Compl. ¶¶ 17–18, 42–43) does not negate paragraph 44’s direct allegation of actual knowledge. It may raise a question of proof at trial, but it does not defeat the claim on the face of the pleading.

Thus, because Plaintiff has pled an affirmative misrepresentation with sufficient specificity and has alleged scienter that reaches actual knowledge of falsity, the third cause of action states a claim for intentional fraud governed by the three-year period of section 338(d), not the two-year period of section 2079.4. The section 2079.4 bar therefore does not

appear on the face of the pleading. A limitations defense may be resolved on the pleadings only where the bar “clearly and affirmatively” appears on the face of the complaint; it is not enough that the complaint shows merely that the action may be barred. (*E-Fab, Inc. v. Accountants* (2007) 153 Cal.App.4th 1308, 1316.) DENIED

4TH, 5TH, and 6TH Causes of Action

The fourth cause of action for breach of duty to disclose, the fifth cause of action for breach of duty to be honest and truthful, and the sixth cause of action for negligence require a different analysis. Each pleads a breach of duty owed by White, as the Sellers’ agent, in connection with the inspection and disclosure of Property conditions to a prospective buyer. (Compl. ¶¶ 51–54, 60–61, 65–68.) That is precisely the statutory duty codified in Civ. Code § 2079 and subject to the two-year limitations period of section 2079.4. (Civ. Code § 2079.4; *see Loken, supra*, 36 Cal.App.4th at 271 [both negligence and negligent misrepresentation claims premised on breach of the section 2079 duty fall within section 2079.4].)

Plaintiff opposes this conclusion, arguing that the fourth, fifth, and sixth causes incorporate the intentional misconduct allegations of the third cause and thus escape section 2079.4. That argument is unpersuasive. As Defendants correctly note, the applicable limitations period turns on “the nature of the right sued upon and not the form of the action nor the relief demanded.” (*Gutierrez v. Tostado* (2025) 18 Cal.5th 222, 231 [internal quotation omitted].) Incorporating fraud allegations by reference does not convert a negligence or disclosure duty cause of action into a fraud claim; the substantive right pleaded in each of the fourth, fifth, and sixth causes of action is the section 2079 duty of inspection and disclosure. *Loken* forecloses Plaintiff’s attempt to obtain the benefit of section 338(d)’s longer period by relabeling: “the fact that Loken has labeled his fourth cause of action against [Defendants] as sounding in negligent misrepresentation is not crucial because the wrongful conduct he alleged against [Defendants] stemmed from statutory duties imposed upon real estate brokers and salespersons by section 2079.” (*Loken, supra*, 36 Cal.App.4th at 272.)

Plaintiff’s alternative reading of *Loken* is also unavailing. Plaintiff argues *Loken* is limited to its facts because “there were no facts indicating that the broker (as opposed to the seller) had engaged in intentionally fraudulent acts,” and contends that the same distinction takes the fourth, fifth, and sixth causes of action outside section 2079.4 because they incorporate the third cause of action’s intentional fraud allegations. (Pl.’s Opp. 6:10–18 [quoting *Loken, supra*, 36 Cal.App.4th at 272].) That distinction saves the third cause of action, which alleges an affirmative misrepresentation of existing fact, but it does not save the fourth, fifth, and sixth causes of action. Each of those three causes sues on a distinct legal duty, in each case the section 2079 duty of inspection and disclosure. Incorporation of the third cause of action’s intentional fraud allegations by reference does not alter the substantive right pleaded. As already discussed, “the nature of the right sued upon, and not the form of the action or the relief demanded” determines the applicable limitations period. (*Gutierrez, supra*, 18 Cal.5th at 231.)

Under section 2079.4, the two-year limitations period runs from “the date of possession, which means the date of recordation, the date of close of escrow, or the date of occupancy, whichever occurs first.” (Civ. Code § 2079.4.) Here, escrow closed on or

about August 20, 2020. (Compl. ¶ 77.) The Complaint was filed on August 18, 2023, nearly three years later, and well outside the two-year window. Thus, on the face of the pleading, the fourth, fifth, and sixth causes of action are time-barred by section 2079.4.

Nothing in *William L. Lyon* alters this conclusion. There, the buyers sued Lyon & Associates in its capacity as *buyer's* broker under a signed buyer-broker agreement, with Lyon & Associates also acting as dual agent in the transaction. (*William L. Lyon & Assocs.*, *supra*, 204 Cal.App.4th at 1306.) The Court of Appeal held that section 2079.4 was inapplicable because that section governs the statutory duty of a *seller's* broker to the buyer under section 2079, whereas the plaintiffs' claims were premised on the common law fiduciary duties Lyon & Associates owed to its own clients as buyer's broker and dual agent, claims that did not "arise under section 2079." (*Id.* at 1303–04.) Because those fiduciary claims fell outside section 2079, the fraud cause of action was governed by the three-year period of CCP § 338(d). (*Id.* at 1308.)

Here, by contrast, White is alleged to have represented only the Sellers; no buyer's broker or dual-agency relationship is alleged. (Compl. ¶¶ 15–16.) The fourth, fifth, and sixth causes of action therefore do not implicate the buyer-broker or dual-agent fiduciary duties that took the *William L. Lyon* claims outside section 2079.4. They sue on the section 2079 duty itself and fall squarely within *Loken's* reach. GRANTED

Leave to Amend

Leave to amend should be granted where there is a reasonable possibility that the defect can be cured by amendment; the burden of demonstrating such reasonable possibility rests squarely on the plaintiff. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) As to the fourth, fifth, and sixth causes of action, the limitations bar is a substantive defect that Plaintiff has not shown any facts to cure. Civ. Code § 2079.4 provides that "[i]n no event shall the time for commencement of legal action for breach of duty imposed by this article exceed two years from the date of possession, which means the date of recordation, the date of close of escrow, or the date of occupancy, whichever occurs first." (Civ. Code § 2079.4 [emphasis added].)

Here, the relevant dates are fixed: escrow closed on August 20, 2020, and the Complaint was filed on August 18, 2023. (Compl. ¶ 77.) The Sellers' 30-day occupancy after the close of escrow under the Seller Lease Back agreement (*id.* at ¶¶ 13–14) does not alter this conclusion, because section 2079.4 measures from the earliest of recordation, close of escrow, or occupancy, and close of escrow occurred first. No proposed amendment could alter these fixed statutory triggers. Plaintiff has not identified in its opposition any additional facts it could plead to place the fourth, fifth, and sixth causes of action outside section 2079.4. DENIED.